

The dealer, in good faith, tells Grandma he doesn't know what kind of metal is in the ring, but he will give her \$150.

The traditional approach looks to the past to discover what the principles of the current law should be.

The neighbor knew Homer was intoxicated but kept serving him drinks and then allowed him to drive.

(1) The child's parents want to sue the "Neighbor" for negligence as a social host.

(2) Case Was recently decided stating that social host are not liable for their guest.

The key to this approach is that historical cases don't drive future law.

Under this approach, the social host issue would probably have a different outcome (1) You will hear the terms "precedent" and "stare decisis" when case law is discussed.

Precedent is merely a prior case which is similar in legal principle or fact.

For example, if an individual is charged with the crime of false imprisonment, the judge will: The UCC primarily deals with the sale of goods and was designed to assist in commercial business transactions.

A working definition of procedural law is the rules and principles that govern the behavior of courts and lawyer in dealing with disputes.

Civil Law spells out the duties that exist between persons or between citizens and their government.

Examples of Criminal Offenses include (1) Burglary, (2) Murder, (3) Rape and (4) Assault and Battery In other words, rescission puts an end to the transaction and leaves the parties as though the contract had never been made.

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City Gas Company of Florida v.

Commissioner of Internal Revenue, 689 F.2d 943 (11th Cir.

The author states that each case presented in the text is summarized for ease of reading.

If you ever get a chance to read an original court decisions, you will come across one of four terms in the opinion Concurring opinions are usually written when a judge agrees with the decision for but for a different reason.

(1) The court must have jurisdiction over the person against whom the suit is brought and subject matter of the case OR (2) The court must have jurisdiction over the property involved and the subject matter of the case.

The first key point that we must remember is that " in order to consider a case, a court must have power over the person or the property involved in the action.

Subject matter jurisdiction is defined as the power or authority of a court to "decide a particular type of legal dispute.

Venue rules attempt to allocate cases within a judicial system in a manner that is convenient for the parties, witnesses and the court.

The general rule is that venue is proper where the incident occurred or where the parties involved in the suit reside.

When we say a person must have standing to assert a claim, we mean a party must have a legally protectible and tangible interest at stake in the litigation.

After Barney's resignation, he file an action in the federal district court seeking to be re-instated into the lodge.

I want to try to keep this concept pretty simple because there are variations based on the circumstance.

(1) NOTE, the Appeals court looks for an errors in "law and procedure" not in fact.

Judicial review means that the courts have the authority and power to determine if a particular law is in violation of the Constitution.

It is important because any statute or law passed by government is subject to the courts' review.

(1) The US Supreme Court held that such a ban violated an individual's right to privacy and therefore struck down the Texas Statute as being unconstitutional.

Congress has the power to control the number and kind of inferior courts in the federal system.

This is critical because it helps spread the balance of power between the different branches of government.

Aunt Bees car is totally destroyed and she has substantial medical bill (i.e. exceeding \$50,000).

Page 29 lists some situations in which the Supreme Court may issue a writ of certiorari.

Formats or procedures have been established so that a case may progress smoothly through the court system.

A short and plain statement of the facts necessary to show that the plaintiff is entitled to relief.

The summons informs Jones that failure to answer will result in a judgment by default for the plaintiff.

If Carvello admits to all of the allegations in Kirby=s complaint, a judgment will be entered for Adams.

Before a trial begins, the parties will want to gather information about the case.

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the court order specifies the time, place, manner and scope of the examination.

The purpose of the pretrial hearing is to identify the matters that are in dispute and to plan the course of the trial.

The purpose of any trial is to persuade the judge or jury that your facts are more truthful and accurate than the opposing lawyer.

The general rule is that all persons are qualified to serve as jurors and to be included on the jury list.

Normally a pool of jurors is selected from voting lists or city directories.

Each side has an unlimited number of challenges for cause (e.g.

a juror is employed by one of the parties).

AS the text states both attorneys are allowed to make opening statements concerning the facts to be proved.

The losing party can ask for a judgment notwithstanding the verdict (called a "JNOV").

An action by the state government is valid under federal law unless it violates some specific limitation imposed by the U.S.

Constitution.

A system of checks and balances is also an important part of the Constitution because it keeps any one branch of government from accumulating too much power.

Congress has the power over spending and commerce, but the president can veto that legislation.

The motel was two interstate highways, derived 75% of its occupancy from out-of-state guests, and solicited business in national advertisements.

The motel owner argued that Congress had exceeded its power to regulate commerce.

The district court said that the 1964 Civil Right Act was constitutional as it was applied to this case.

The Supreme Court held that the motel could constitutionally be reached by the Civil Rights Act, under the Commerce Clause.

(2) The court also held that Congress had the power to regulate local incidents if it could have an effect on Commerce.

We talked earlier about the power of the state to regulate activity within its own borders.

In essence, they look at the merit and benefit to the state and compare this to the burden being placed on interstate commerce.

In this case Burbank's city council passed an ordinance which made it unlawful for jets to take off between the hours of 11pm and 7am.

The court noted that "the pervasive nature of the scheme of federal regulation of aircraft lead them to conclude that there is pre-emption.

The First Amendment provides that "Congress shall make no law that reduces the freedom of speech." They include (1) obscene material, (2) profanity and (3) fighting words (i.e.

those things that tend to incite riots or violence).

The fourth amendment protects the rights of people to be free from unreasonable searches and seizures.

20 requirement is when the police officer believes that the item will be removed before a warrant can be obtained.

This means that the judge can't have any political or monetary ties to the case.

The 5th and 14th amendments provide that no person shall be deprived of life, liberty or property without due process of law.

This requires that when government takes private property or upset someone's rights, there must be fairness in the process when is used.

Equal protection means that the government must treat similarly situated individuals in the same manner.

As a joke, Barney Fife pulls the chair back just as Gomer is getting ready to sit down - This is a tort.

The text states that intentional torts arise from an act that the defendant consciously desired to perform, either in order to harm another or knowing with substantial certainty that injury to another could result.

A much simpler version is this, "in order to prove that an intentional tort was committed, the plaintiff must show: The general rule is that a person may use reasonable force to prevent the commission of a tort against their property.

False imprisonment is defined as the intentional confinement or restraint of another person without justification.

The text defines this tort as "an intentional act that amounts to extreme and outrageous conduct resulting in severe emotional distress to another." A person's interest in his reputation is protected by a tort action called defamation.

Under this act a plaintiff can sue if his name or picture has been appropriated by another for his financial benefit.

The fourth act is the public disclosure of private facts about an individual that an ordinary person would find objectionable.

Floyd puts a poster in the window of his store stating that Guber owes him money and has not paid him.

The text states that misrepresentation involves the use of fraud and deceit for personal gain.

A misrepresentation of fact or condition with knowledge that it is false or reckless disregard for the truth.

You usually rely on an opinion when it is made in a professional capacity by someone with superior knowledge in that area.

(1) Example Dealers says "This is the best little two-door car you're gonna find for the money anywhere." This doctrine imposed liability upon landowners who maintained a condition which induced children onto the land.

Conversion occurs when a party substantially interferes with the rightful owner's possession of property.

Whoever suffers a conversion is generally entitled to recover the reasonable value of the lost goods.

This is conversion because Spock's car was totally destroyed and Kurt intended to drive it.

The key distinction between negligence and the intentional torts is the actor's mental state.

This is a duty requiring the defendant to conduct himself according to certain standards so as to avoid unreasonable risks to others.

The major question is whether a negligent defendant's responsibility should extend to consequences that could in no way have been anticipated.

Under this test, the duty of care extends to a victim who is located within a foreseeable zone of danger.

It is foreseeable that a third party would lend assistance and could endanger Marcie, therefore Al would be liable.

First of all "but for" Floyd's mistake, Andy would have never had to go to the hospital, but (1) such an accident was foreseeable and (2) there was a superseding intervening force. The essence of this defense is that a plaintiff who does not take reasonable care to protect his own safety is negligent.

Under comparative negligence, liability is divided between the plaintiff and defendant in proportion to their relative fault.

There are several categories of strict liability, but the most important one is Abnormally Dangerous Activities.

The activity involves potential harm, of a serious nature, to persons or property.

The activity involves a high degree of risk that cannot be completely guarded against by the exercise of reasonable care.

For example, a company who has spent a considerable amount of money and time on a new drug would want to protect that investment.

This will usually come into play when an employee leaves the company and starts competing against his former employer.

The text list three elements which are necessary to prove that a wrongful interference with a contractual relationship exists.

The contract states that Gomer will cut hair only in Floyd's shop.

There was a contract between Getty Oil and Penzoil as long as the essential terms were agreed upon.

(3) Getty Oil's demand for full indemnity from Texaco against any claims by Penzoil arising from their agreement.

The primary focus of this portion of the chapter is to distinguish between good competition and behavior that borders on being a tort.

Although there is no clear definition of what a wrongful interference with a Business Relationship is, the text list several key points: A business can not unreasonably interfere with an economic advantage gain by a competitor through advertising. Its practice was to get solicit individuals to look at its property in hope of purchasing lots or condominiums.

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Lehigh would provide prospective customers with accommodations while they give you the "pitch" to purchase their product (Just like time shares).

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When Azar saw a prospective client go into Lehigh's office, he also made a play for them, offering them similar property at a cheaper price.

The trial court allowed the injunction thus restraining Azar from interfering with Lehigh.

The found that Azar conduct was unfair because it met the requirements of interference with a business relationship.

The primary point I'm trying to make is the customer has a right to buy his product from anyone he wants.

The first reason is that the providing of electric is very expensive (Shearon Harris cost \$6 billion).

The second reason is that the government regulates this type of industry and to a certain tells them how much money they can make.

Companies definitely can't get together with the intent of running competitors out of business.

Edward Tuttle owned and operated a barber shop in Howard Lake Minnesota.

(1) Buck allegedly established a competitive barbershop with the intent of running Tuttle out of business.

The Minnesota Supreme Court held that Buck was guilty of maliciously interfering with Tuttle's business.

(1) The court reasoned that competition should be preserved but its duty was also to guard against abusive practices.

(3) The court looked at Buck's intent and held that his primary purpose was not drive Tuttle out of business (and not to make a profit).

Appropriation is merely the use of a person's name or likeness by another, without his permission for commercial advantage.

The "RICO" Act is an attempt by Congress to keep organized crime out of legitimate business.

Private individual may under certain situation recover "treble damages", plus attorney fees for injuries they have incurred.

The text uses a term called "passing off" which is falsely inducing buyers to believe that one product is another.

Passing off includes Infringement of a trademark, a trade name, a patent, or a copyright.

A trademark is special or distinctive mark, logo or device a manufacturer places on his product to distinguish it from others.

Generally, the Trade Name is directly related to the good will of the business.

This happens when the Company establishes a reputation of providing top products or services.

Some of the more common trade names that are becoming generic are (1) aspirin, (2) Clorox, (3) Kleenex and (4) Xerox.

AS the text states, a patent is a grant from the government that gives an inventor exclusive right to make and sell a product for a given period of time (Usually 17 years).

A patent's primary purpose is to give notice to others who may want to make the same item.

Once the patent ends, and other companies are allowed to produce the same product, the price drastically drop.

A copyright is a statutory right given to authors or originators of literary or artistic productions.

Copyright infringement occurs when someone copies or reproduces the originator's work without his permission but more importantly without paying for it.

Trade secrets are information or processes used by a business to obtain a competitive edge.

The text states that crimes are classified as felonies or misdemeanors according to their seriousness.

Guber and Gomer decides to go to Mount Pilot to hold up the local bank.

Guber, Gomer and Earnest T.

Bass agree to holdup Mayberry National Bank.

Example 2: Suppose, on the way to the bank Gomer decides he doesn't want to be part of the holdup and he tells this to Earnest T.

and Guber.

Gomer can be convicted of conspiracy because he did in fact make an agreement with the other two to rob the bank.

In addition, if criminal activity happens across state lines, it can also be considered a federal crime.

Forgery consists of making or altering of a false writing with intent to defraud.

The text also list other forms of forgery including: (1) changing trademarks, (2) falsifying public records, (3) counterfeiting, and (4) altering legal documents.

Let's say Earnest T.

Bass walks up to Aunt Bee and says give me \$10 in a very rough tone.

Burglary is the breaking and entering of a dwelling house of another at night with the intent to commit a felony.

The next morning Otis discovers this is not his how, but he see a couple of bottles full of liquor and takes them.

At my last job, an individual who was responsible for petty started skimming money off the top.

In a business context, arson usually arises when the owner of the structure wants the insurance proceed and he hires someone to torch the building.

Bribes consist of corrupt payment or receipt of anything of value in return for official action.

Bankruptcy filings in North Carolina have increased more than 5 times in the last 10 years.

The first kind is where a creditor files a false claim to assets held by the trustee.

The second situation is where a debtor transfers his property to a third party prior to filing for bankruptcy.

The typical situation is where a business obtains merchandise on credit, sells the goods and then skips town.

A child under 7 years of age was absolutely presumed not to have criminal capacity.

The state could attack this presumption by demonstrating that the child understood the nature of his act.

Burrows had never tasted alcohol before, BUT he drank because he had no money and feared being left in the desert.

The court held Burrows was under duress when he drank the alcohol, therefore his intoxication was involuntary.

The court said Burrows committed the act when he did not know right from wrong, therefore he can not be convicted of murder.

A defendant cannot be convicted if, at the time of the crime, he was so impaired by mental illness or defect as to be insane within the meaning of the law.

Over the years, the courts have struggled with the proper definition of insanity, and numerous tests have been developed.

This rule has been relaxed in some jurisdiction to allow mistake of law as a defense if defendant shows either: Consent of the other party can be a defense in a criminal action, depending on the nature of the crime.

For example a person can't consent to murder, prostitution or drug use.

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The threat must be immediate and inescapable and d.

The people who plead duress as a defense must have been involved in the situation through no fault of their own.

45 serious bodily harm such as murder, arson, burglary, rape and kidnapping.

In return for information, the government may agree to prosecute the defendant for a lesser crime or drop the charges all together.

An alleged criminal must be accorded "due process of law" regardless of how serious the crime is.

Fourth Amendment probable cause requirement for issuance of a warrant for search or arrest.

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fifth Amendment requirement that no one can be deprived of "life, liberty, or property without due process of law." An arrest occurs when the police take a person into custody against her will for purposes of criminal prosecution or interrogation.

The general rule is that in order for an arrest warrant to be issued there must be "probable cause" that the person committed the crime.

Probable cause is defined as a substantial likelihood that the individual committed the crime.

Before a charge can be issued, the grand jury or the magistrate must determine that there is sufficient evidence to justify bringing the individual to trial.

After this stage, the court will either let you go or tell the bailiff to take you back to prison.

Barney tells Otis I will pay you \$50 if you promise not to drink for a week.

If B can show that by A's tone of voice or by his own that of Business knowledge that this lead B to reasonably conclude that A was serious, then there is a binding contract.

If on the other had a person in B's position would reasonably understand that A was joking, the court will hold that no contract was created.

Negotiable instruments including checks, notes, drafts and certificates of deposit.

One example of this is where Alonzo Mourning tells George Shinn that he will not sign for less than \$5 million a year.

Under Modern law and the UCC an auctioneer who puts an item up for a bid is not making an offer.

Pilgrim Appealed arguing that the parties had never come to any definite agreement as to what amount of profit Petersen would get.

The court said, in this case, the parties had never come to a definite agreement of what the share of the profits would be.

The court allowed Petersen a new trial so that he could establish whether he was entitled to an additional sum of money based on the services he had performed.

The general rule is an offer may be revoked by the offeror at any time prior to an acceptance.

Indirect revocation occurs when the offeree has knowledge through a reliable source that the offeror has revoked the offer.

Allen has formed an option contract and the offer can not be revoked during the 15 day period.

A merchant is a person who deals in goods of the kind involved in the transaction or holds himself out as having knowledge.

At the end of this time limit, the offeree's power of acceptance automatically terminates.

If the delay had not been apparent through the postmark, the two-week period would begin on the receipt by Andy.

In making its decision, the court relies on all circumstances existing when the offer and attempted acceptance are made.

The general rule is if either the offeree or the offeror dies, or if either loses the legal capacity to enter into the contract (e.g.

insane), the power to accept is terminated.

This rule applies even if the offeree does not learn of the offeror's death or incapacity until after he has dispatched what he intends as an acceptance.

If a contract, which would have been legal at the time the offeror proposed it, becomes illegal through a new statute, the power of acceptance is terminated.

As the text states an acceptance is a voluntary act (either words or conduct) by the offeree that shows an agreement to the terms of the offer.

Barney ships the shoes to Al without notifying him that he purchased Andy's business.

In order for acceptance to be effective, the offeree must at least communicate it to the offeror, in a reasonable, prompt and clear manner.

The text gives an illustration of where a buyer accepts the goods but states that "The price seem unfair." The policy consideration in effect is that the burden should not be on a person to affirmatively reject an offer.

Prior course of dealings may also make it reasonable that the offeree's silence be construed as consent.

The classic example, in which the text illustrates, is where goods are shipped from the supplier to the buyer over some time period.

By statute if you receive merchandise in the mail that you did not order, you don't have to pay for it or return it.

NOTE, this does not apply to Columbia House Record deals where you have to accept some kind of offer.

A unilateral contract is created when the offeror proposes that the offeree accepts by performing an act, rather than by making a promise.

Archie composes a letter to George accepting the offer, but he doesn't mail it for several days.

The acceptance never became effective since Archie never made a reasonably prompt attempt to communicate it to George.

Most courts follow the general rule that the acceptance is effective when it is dispatched to the offeror.

Story promises his nephew \$5,000 if he will refrain from smoking, drinking and gambling until he reaches the age of 21.

In addition, the court said that even though nephew didn't suffer any economic harm and probably benefitted from his action, his inaction was a kind of "detriment" because he gave up his right to do them.

In such situations, as long as the promisee suffers some detriment, no matter how small, the court will not question the amount of consideration given.

The adequacy of consideration will be reviewed if there is evidence of fraud, duress, undue influence, or some other incapacity (e.g.

insane or the under age person).

They will deny relief to a party where they see evidence of an unfair bargain.

The general rule is if a party does or promises to do what he is already legally obligated to do, he has not incurred the kind of "detriment" necessary for his performance to constitute consideration.

A key reason for this rule is that courts want to deter "hold-up" behavior by which one party attempts to take unfair advantage of the other by threatening not to live up to his obligations.

His current crew is under a fixed contract for the entire fishing season.

When the boat arrives in Alaska, the crew refuses to do anymore work unless they are given a substantial increase.

When the boat arrives back in San Francisco, is Al required to pay the additional wages? No, the agreement to pay the extra money was without consideration, since by agreeing to work back to San Francisco, the crew were doing only what they were legally obligated to do.

Andy hires Gomer to work as a deputy sheriff for one year at \$90 per week.

In the case of contracts for the sale of goods, the UCC has in effect abolished the "preexisting duty rule." The UCC provides that "an agreement modifying a contract within this Article (2-209) needs no consideration to be binding." Relief may be granted when a party runs into unforeseen and substantial difficulties that could not have been anticipated when the contract was formed.

New unforeseen housing developments have sprung up which means Rock will have additional work.

The modification seems fair and equitable, it was voluntarily entered into and was motivated by events which were not anticipated at the time the original contract was created.

Another kind of situation in which the "bargain is missing" is that in which the promise is made in return for detriment previously suffered.

Paramount passed a resolution that Opie be given the right to retire with a \$10,000 monthly pension.

The general rule is that a contract with such a clause is enforceable if the party with the option has given up another opportunity.

The text gives a good example where in the first situation, there is a contract for \$4,000 per month which is cancelable at anytime.

Long drawn out litigation usually hurts all parties involved, therefore businesses would rather come to an agreeable resolution.

Liquidated debt deals with obligations where the parties are in agreement as to the amount and liability.

The rationale for this rule is that the debtor already has a preexisting duty to pay this amount and no new consideration is given.

In contrast, if the debt is said to be unliquidated, a settlement for a lesser amount will be enforceable.

George Jefferson asserts that Archie Bunker owes him \$200 for cleaning bills.

In this situation, each creditor will attempt to recover a portion of what he is owed in satisfaction of his full debt.

The text clearly states that Statutes of limitation require creditors to sue within a specified period of time.

The text gives an example where a debtor owes \$5,000 to bank but the statute of limitation has run.

Just remember most courts will enforce a promise to pay a debt discharged in bankruptcy.

The 1992 Legal Environment Class promises to donate \$100,000 to the School of Business and Economics.

But as in the example above, a large number of courts are filling the void by using "Promissory Estoppel." The theory is that the charitable institution has relied on the promise and has changed their position based on it (e.g.

purchase of land, construction of building, etc.) Statutes, or case law may prevent a minor from avoiding certain kinds of contractual obligations.

Obligations that are held to be unavoidable include (1) agreement by the minor to support his illegitimate child, (2) bail bond taken out to secure his bail, (3) student loans, (4) medical care and (5) a promise by a minor employee not to use his employer's secret customer lists.

He may do so orally, by his conduct or any other way that brings home the fact that the infant does not wish to proceed.

The theory is that the minor is not mature enough to know whether the contract is in his interest or not until he has reached adulthood.

Because a contract made by a minor is not void, but merely voidable at his option, he can choose to enforce it if he wishes.

The minor may be held to have ratified the contract by inaction, if he fails to disaffirm it within a reasonable time after reaching his majority.

If the former minor actively induces the other party to perform, this conduct may constitute a ratification.

In a large number of cases, the issue of infancy and disaffirmance arise only when a suit is brought against the minor because he has not gone through with the contract.

(2) If the minor has disposed of the goods or destroyed them, he generally has no obligation to pay for their reasonable value.

When a minor disaffirms, all property that he or she has transferred to the adult as consideration may be recovered even if it is in the hands of a third party.

If the minor willfully lies about his age, to induce the other party to contract with him, courts differ as to the effect of such misrepresentation.

Some states prohibit disaffirmance unless the minor can return the consideration received or pay the reasonable value for the goods.

Some states allow the other party to bring an independent action in tort for misrepresentation against the infant.

(1) Depending on the jurisdiction the court may allow a minor to disaffirm a contract for insurance.

In other jurisdictions, the court may prohibit disaffirmance especially if the minor contracts for medical or life insurance.

Age, mental capacity and maturity are factors which are used to evaluate the degree of liability.

The minor may disaffirm the contract, but if he negligently misuses the boat, he may be held under a tort action.

The general rule is that parents are not liable for the contracts made by their minor children.

If, despite intoxication, the person understands the legal consequences of his act, the contract will still be enforceable.

If the contract is disaffirmed, the majority of the courts require the intoxicated person to return all consideration received.

Mental incompetents, like minors, are treated as having limited contractual capacity.

Thus if the maker regains his mental capacity, or has a guardian appointed for him, the contract may be ratified.

Genuineness of Assent may be lacking because of mistakes, misrepresentation, undue influence, or duress.

For example, if the bidder on a construction job makes a mistake in estimating the amount of labor required to do the work, he will not be entitled to avoid the contract.

(2) If it could be shown that the bidder should have been put on notice that there was a mistake (e.g.

the bid was extremely low), then the contract will not be enforceable.

(4) Mrs.

Boyd claimed the full death and disability benefits under the theory that her agreement with Aetna was a mutual mistake of the same material fact.

When the purchase was made, neither party knew that it was a Stradivarius, worth thousands of dollars.

If the value was based on a material fact in which each party believed to be true, then the contract may be rescinded.

Again, the text gives an example of two farmers who negotiated the sale and purchase of a cow.

Both parties believed that the cow could not bear calves, therefore the price was substantially lower.

(a) The text list an example of where a car was sold as new, but it really was a DEMO with its miles rolled back.

The rationale is that people are assumed to know state and local law where they reside.

One exception is when the misrepresenting party is in a professional which generally requires greater knowledge of the law than the average person would have.

The general rule is failure to disclose information will not be constitute misrepresentation.

If part of the truth is told, but another portion is not, so as to create an overall misleading impression, this will constitute misrepresentation.

If the party has taken positive action to conceal the truth, this will constitute misrepresentation even though it is not verbal.

If the parties have some kind of fiduciary relationship so that one believes that the other is looking out for his interest, there will be a duty to disclose material facts.

Intent to deceive involves a state of mind commonly referred to as "scienter or guilty knowledge." (1) AS the text states, reliance is not justified if the innocent party knows the true facts or relies on an untrue statement that is obvious.

In a large number of cases, if the innocent party merely wants to cancel the contract, showing injury has been held to be unnecessary.

Under this approach, the innocent party seeks to be put in the position he would have been in had the misrepresented facts been true.

The texts also states that in some instances, the court will award "punitive damages." In effect, if a person makes a statement that he or she believes to be true but that actually misrepresents material facts, the is not guilty of fraud.

An action will constitute negligent misrepresentation if the party fails to exercise reasonable care in uncovering or disclosing the fact or does not use the skill and competence that his business or profession requires.

Undue influence may be established by showing that the victim was subjected to "over persuasive pressure" by the other party.

The general rule is that the defense of duress is available if the defendant can show that he was unfairly coerced into entering a contract or modifying it.

Duress consists of any "wrongful" act or threat which overcomes the free will of a party.

This is critical because a threat to exercise a legal right is not ordinarily illegal and usually does not constitute duress.

An adhesion contract usually does not include bargaining terms, but rather a "take it or leave it approach." AS the text states, adhesion contracts usually contain fine print disclaiming the maker's liability for everything imaginable.

Under this example, a welfare recipient with a 4th grade education signs an agreement to purchase a refrigerator costing \$2,000, payable in installments over two years.

Illegality is a defense based upon the fact that the subject matter of the proposed contract is unlawful.

As the text states, statutes proscribe what terms of contracts are legal and which are illegal.

Under these statutes, the state sets the maximum rates of interest that can be charged for different types of transactions.

Many states require that "add-on" fees be included in the calculation of the maximum interest rate.

As mentioned early, many states exempt corporate loans from usury laws.

Most states have adopted special statutes allowing for higher rates to be charged on certain small loans.

If the person wins, the value of the property given up will be greatly enhance because of the risk involved.

If the statute doesn't state whether it will be enforceable, look to the underlying purpose of the licensing requirement.

If the purpose of the license is to protect the public, then such a contract will usually not be enforceable.

The general rule is any contract to commit a crime violates the statutes and is not enforceable.

One of the basic assumptions of the US Economy is individuals are allowed to buy and sell as they please.

This means they will be held to be illegal even if they don't violate restraint of trade.

Also, if it is for a length of time longer than the seller's goodwill is likely to continue, then it will be invalid.

Courts will permit this type of covenant if it is designed to accomplish one of the following two purposes: To prevent the employee from disclosing or using confidential information or trade secrets gained from the employer; or As the text states, a contract in which a party promises to discriminate in terms of color, race, religion, national origin, or sex is contrary to public policy and is therefore unenforceable.

The text gives one example of a property owner promising not to sell to a particular race.

If the lobbying group is merely providing factual information to support its cause, then this is not illegal.

The problem comes into play when those lobbyists try to buy votes or influence legislative decisions by giving congressmen money.

The text also briefly discusses public official and potential conflicts of interest.

This would typically arise where the public official's private business would benefit from his elected office.

The text states that an agreement that is intended to delay, prevent, or obstruct the legal process is illegal.

Agreements to suppress evidence in a legal proceeding or to commit fraud upon a court are illegal.

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Tampering with a jury by offering juror money in exchange for their votes is illegal.

Seller in North Carolina contracts to sell equipment to Buyer in Iran.

The US breaks off all diplomatic relations with Iran and passes legislation restricting all sells to that country.

In this situation, buyer could recover his \$10,000 but the seller could not be made to comply with the contract terms.

A promise to buy or transfer an interest in land is within the Statute of Frauds, therefore it must be in writing.

The text lists several other interest in land which fall within the Statute of Frauds: As the text states, a life estate is an ownership interest in land that lasts for a person's lifetime.

An expressed easement is created when the land owner expressly agrees to allow another to use his property.

Generally, a contract that cannot, by its terms, be performed within one year from the date it was formed, must be in writing to be enforceable.

The one-year rule provision applies only if complete performance is impossible within one year after the making of the contract.

Bank agrees to loan a consulting company money as long as it will remain in business.

Suppose, the bank had agreed to lend money for two years with no Acceleration clause.

The one year period is measured from the time of execution of the contract, not the time it will take the parties to perform.

On January 10, 1997, Andy promises to make a one-hour television appearance on February 1, 1998.

A college professor is hired on March 1 for a nine month term which will run from September 1 through 31.

A promise to pay the debt or default of another is within the Statute of Frauds and is therefore unenforceable unless it is in writing.

This rule is designed to make sure that this kind of contract is not enforced unless there is sufficient evidence of its existence.

By requiring the contract to be in writing, it makes the surety take his time and think about what he is doing.

In summary, if the executor promises that he will pay any outstanding debt of the deceased, then it must be in writing.

In the prior situations, it is clear that the promisor's main purpose in making the promise was to benefit another.

If the facts are such that the chief purpose in making the promise is to further the promisor's interest, then this does not fall under the Statute of Frauds (therefore no writing is required).

In this situation, Oswald's main purpose is to fill his order, therefore an oral contract would be sufficient.

Section 2-201 of the UCC provides that a contract for the sale of goods for the price of \$500 or more must be in writing.

Shaq places an oral order for special furniture due to his size.

If part of the contract is unclear by its words, it would be okay to include examples to illustrate the point.

The signature can include your name, initials, a stamp or an X if it is intended to show your acceptance of the agreement.

Usually suits are brought when parties allege preliminary negotiations were should have been part of the contract.

Evidence may be entered to explain or supplement a written contract by showing a prior dealing, course of performance or usage of trade.

A third party beneficiary has legal rights (and therefore may sue) depending on which of two categories he falls into.

If a third party is classified as an "intended beneficiary," he has legal rights and may have an action to sue.

Several factors are listed in the text which will help in identifying whether an individual is an intended or incidental beneficiary.

The third party beneficiary learns of the contract and agrees to it at the request of the promisor and the promisee.

This section deals with attempts by a party to an existing contract to substitute another in his place.

If the existing party appoints a third person to perform his duties under the contract, he has made a delegation.

Assignments and delegations are attempts to create right or duties in a third person after the contract has been executed.

When a valid assignment occurs, the assignor's rights under the contract are extinguished.

In general some individual will attempt to place restrictions on assignment of rights to a contract.

Under this contract, once the property is sold, the entire balance owing is due.

The text states that once an assignment is made to a third party, notice should be given to the obligor, even though it is not required.

The text also makes a distinction between an absolute promise and the failure of an express condition.

A condition precedent is any event which must occur before performance under a contract is due.

Fisher promises to contribute \$1,000 to Salvation Army if Calvin complete college.

Fisher's promise is subject to Calvin completing college therefore it is a "condition precedent." A condition subsequent is an event which operates by agreement of the parties to discharge a duty of performance after it has become absolute.

Hartman promises to work for San Pedro for one year unless he is admitted to Graduate School.

The buyer's duty to pay doesn't become absolute until the seller delivers the goods.

In essence, the agreement has been completed when both parties fulfill their respective duties under the contract.

As the text states, when the subject matter of the contract is personal, the performance must be to the individual's satisfaction.

In contrast, if the contract involves mechanical fitness, utility or marketability look at the "reasonable person standard." Some courts say use the reasonable person standard, while others hold that the individual will not be paid unless it meets the approval of the third party.

(1) The overall principle is that the more the breach defeats the entire purpose of the contract, and the expectations of the nonbreaching party, the more likely it is to be considered material.

A material breach has the effect of allowing the nonbreaching party to sue immediately for damages.

Raytheon contracts with the US Government to build an all weather tactical force system that use Hawk missiles.

(1) The missiles by contract must be coated with paint so that they will deflect weapons heat sensors.

(3) The government is entitled to treat this as a breach of contract because the missiles don't have all weather capability.

If the only problem was the Raytheon did not coat the Hawk missiles with deflective paint, this is not material.

As the text states, one of the primary reasons for an anticipatory breach is a sharp fluctuation in market prices.

(1) The text states that in order to rescind such a contract, you need an offer, acceptance and consideration.

If the contract has been fully performed on one side, a mutual rescission will not be effective.

Alberto's Food Company agrees to purchase 40 truck loads of oranges from Citrus Products.

Substitution is the process by which the original contract is immediately discharged and replaced with a new agreement.

(2) The parties have made a substituted agreement, immediately discharging the original debt.

The text lists the four most common types of remedies which are (1) damages, (2) rescission, (3) specific performance and (4) reformation.

Compensatory damages provide an award of money to the nonbreaching party to compensate for his loss.

Chrysler contracts to buy 10 computer terminal from Sperry Rand for \$8,000 a piece.

If the owner breaches before performance begins, the contractor can recover only the profit (i.e.

contract price less cost of material).

If the owner breaches during performance, the contractor may recover (1) cost incurred to this point plus profit.

If the contractor breaches after partially performing the contract, the measure of damages is the cost of completion.

NOTE, under this method, if economic waste will be incurred, then no recovery allowed.

Hadley took the shaft to Baxendale (who was a common carrier) for shipment to another city for repairs.

(1) Hadley claimed that Baxendale was informed that the mill would be shut down and that the crankshaft must be sent immediately.

The court said that damages are awarded only if the defendant could foresee that his breach would cause such an occurrence.

Such damages are based on "public policy" of actually punishing the wrongdoer and are also used as a deterrent.

Such damages are rarely assessed in contract situation; normally are allowed in tort cases.

Where a breach has occurred, but there is no harm, the nonbreaching party may recover "nominal damages." Nominal damages is a small sum that is fixed without regard to the amount of harm.

All courts agree that a plaintiff must use reasonable effort to avoid damages even if he did not cause them.

This rule merely requires the plaintiff to make reasonable efforts to mitigate damages.

The plaintiff is not expected to incur great expense, time and damage to his reputation in order to mitigate the breach.

For example an engineer would is wrongfully fired "doesn't" have to take a job as a fry cook.

The amount fixed must be reasonable relative to the anticipated or actual loss from the breach and The harm caused by the breach must be uncertain or very difficult to calculate accurately, even after the fact.

In other words, rescission puts an end to the transaction and leaves the parties as though the contract had never been made.

Unilateral rescission is available where the party can show fraud, mistake, undue influence, duress or lack of capacity.

As we stated earlier in the course, specific performance will usually be granted for the sale In such a situation either party may obtain from the court a "reformation" (i.e.

a re- writing) of the written document, so that it correctly reflect the prior agreement.

Their oral agreement includes a provision that Buyer will also an existing mortgage of \$50,000.

Election of remedies merely require the nonbreaching party to choose what method of recovery he wants.

When McCarthy changes his mind Tally may get compensatory damages or specific performance, but not both.

As the text states, under certain circumstances, a nonbreaching party may be willing to accept a defective performance of the contract.

The effect of a waiver is to keep the nonbreaching party from suing on the portion of the contract waived.

Contracts may include clauses which state that what the damages will be in the event of a breach.

A clause excluding liability for negligence may be enforceable if both parties have equal bargaining power.

It will not allow the seller to limit his liability for personal injuries when the buyer is purchasing "consumer goods." If this is a true principal-agent relationship, the acts of the agent will bind the principal.

As the text states the traditional term used for employer- employee relationships was "master-servant.

The key aspect of an employer-employee relationship is that the employer has the right to control the way the employee performs his task.

In some situations, an employee can also be an agent with power to bind the employer in his business dealings.

If the method is by time period versus at the end of the job, it is more likely employer-employee.

As the text states, a power of attorney gives the agent either full or restricted authority to act in the principal's behalf.

The other situation is where the contract in which the agent is authorized to enter into for the principal is controlled by the Statute of Fraud.

Such an agency is created based on either social duty (i.e.

for support of the family) or in an emergency situation (i.e.

when the agent is unable to contact the principal).

Real Estate Broker (Agent) promises principal (seller) she will find a buyer for farm without cost.

Reasonableness is determined by reference to the nature of the work, the contractual understanding and custom.

In emergency situations, where the principal is unavailable, the agent may use his best judgment and deviate from the instructions given.

A subagent is defined as any person employed or appointed by an agent in transacting affairs of the principal.

(1) If not specified, the courts will determine what amount is appropriate by looking at the nature of the business and the type of loss or expense.

The principal has a duty to inspect working conditions and inform agents of unsafe areas.

As early stated, the agent has the right to (1) be compensated, (2) be reimbursed, (3) safe working conditions, and (4) not be interfered with by the principal.

An agent normally can bring contract damages or tort claims against the principal.

A principal may also get a constructive on benefits received by an agent in a breach of loyalty case.

We will start with a closer and more detailed look at the scope of an agent's authority.

Usually a principal will be liable to a third party based on the acts of his agent.

The principal may ratify in writing an act done originally without written authorization.

Implied authority can arise from (1) custom and usage, (2) principal's past approval of agent's acts, and (3) emergency or necessary situations.

It is implied that he will have whatever authority is necessary to run a manage a grocery store.

P knows that X is a frustrated salesman but has never taken steps to restrain X from his unauthorized dealings with customers.

P does not have an action against T because T has a reasonable belief that the agent can collect money based on P's "failure" to notify T.

NOTICE IS KEY Since this is an industry custom, failure to notify restaurant will make P liable.

There are situations where an agent will purport to act on behalf of a principal without any type of authority.

In order to ratify the contract, the principal must have knowledge of all material facts regarding the transaction.

Death or incapacity of the third party "before" ratification will void an unauthorized contract.

Under the UCC, the agent is liable if the instrument does not name the principal or show that it was signed in a representative capacity.

Examples would include extension of credit and highly personal service contracts.

The agent will not be held liable if the third party knew of the mistake at the time of the contract.

This involves a principal, who is in some way is reckless or negligent which he conducts business through an agent.

(1) The principal (i.e.

the loan company) will be liable because a reasonable person would have believed that the agent had the authority to make such a statement.

When an agent innocently misrepresents facts, this is usually grounds for rescission of the contract by the third party.

If the principal is aware that the agent has not been apprised of all of the facts, he may be liable to the third party for damages.

An employer may be held liable to third parties for torts committed by his employee under the doctrine of "respondeat superior." The text lists on page 554, eight (8) factors which may be used in determining whether the act was within the scope of employment.

As the text states the general rule is that a principal is not liable for physical harm caused to a third party by the negligent act of an independent contractor.

The principal has no legal power to control the details of the physical performance of the contract.

This would include things such as (1) blasting operations, (2) the transportation of highly volatile chemicals and (3) the use of poisonous gases.

Such like contract law, there are several ways to terminate an agency relationship.

At the end of that time period the agency relationship will cease to be effective.

Able and Paula sign an agreement of agency which will run from January 1, 1989 to December 31, 1993.

Paula permits Able to grant a line of credit of \$1,000 to anyone who maintains a minimum of \$1,000 in their savings account.

As long as the individuals maintain \$1,000 in their savings, Able may grant them a loan, but once that balance drops below \$1,000, he can't.

(1) If after receiving the money, Sarah tells John she is revoking his power to sell the jewelry will not be enforceable.

The general rule is death or insanity of either the principal or the agent will terminate the agency relationship.

If a third party has not dealt with the agent, the principal is only required to give him "constructive notice." This is different from a general partnership because where the partners may have to go into their own personal wealth to pay off debts.

The state must approve the Articles of Incorporation which describes the purpose and the structure of the corporation.

Congress will pass a statute setting forth an outline of broad regulations.

A monopoly results when a single company controls an entire market and charges more than a competitive price for its product.

The text illustrates this rationing by looking the function of the Federal Communications Commission.

The Federal or State Governments set the price at which a company could sell its products.

Included under this heading is utilities, railroads and natural resource monopolies.

When the statute requires formal rulemaking, the agency must have a public hearing on the matter.

The next question is "what happens if there is still opposition to the rule after the agency has followed the proper procedures.

The APA allows an interested party to have a court determine the validity of the rule.

To meet the standard a person must show "a serious flaw in the agency's judgment." (4) Administrative hearings are more liberal with kind and amount of evidence allowed to be presented.

This power includes the authority to issue subpoenas for documents or testimony, inspect records, and request information.

(1) Due Process protects against unreasonable and arbitrary demands being placed on companies.

This act requires the federal government to disclose certain records to any person upon request.

(2) Information related solely to the internal personnel rules and practices of an agency.

(4) Trade secrets and privileged commercial information obtained by the government from private persons.

This act comes into play when a new rule significantly impacts on small businesses.

This act requires the Agency to analyze the impact of the new law on the small businesses.

The government saw that this was not meeting the needs of its citizen therefore more legislation was introduced to protect consumer against seller who were "less than honest." This chapter focuses on federal regulation, BUT each state also has specific provisions which protect the public.

Some of the bigger brokerage houses were constantly advertising on TV and in professional magazine about their service.

One of the earliest forms of consumer protection was the Federal Trade Commission Act..

If the FTC believes there has been some form of deceptive advertising and the company doesn't, the case goes before an "administrative law judge." IF the FTC finds that unfair or deceptive advertising has occurred, it will issue a "cease-and-decease" order.

The text gives you an example where Listerine advertised that their mouthwash could prevent or cure colds and sore throats.

Example would include (1) cosmetics that would give your skin new life or one type of bread is more nutritious than another (It might taste better).

Most of the weird or "unconventional" endorsements come when the celebrity is getting older and can't do anything else.

NOTE, if the advertisement is overly exaggerated, it will be okay because a reasonable person would know this.

I walked into Circuit City a year or so and wanted to buy the VCR they had on sale.

c.

The seller fails to promise or deliver the advertised item within a reasonable time.

The government has also passed specific legislation requiring the manufacturer of certain products to put warning labels on them.

One of the most significant rules established by the FTC was to require door-to-door salespersons to give consumers three days in which to cancel the sale.

The law requires anyone who sells land "interstate" (i.e.

betw parties in different states) to file a statement with the Department of Housing and Hurban Development.

The acts primary goal was to ensure that buyers of residential property are given all necessary information about the settlement process.

The government has also passed legislation which regulate the extension of credit and the recovery of debt.

d.

He must tell you how many payments you are going to make (This is real important, because you can now finance a new BMW or Mercedes for 7 years).

The problem with credit cards is that the interest rate is between 16.9% and 22%, but the banks only want to give you 5% on your account.

The text list several key provisions which will protect holders of credit cards.

A credit card holder may with hold payment if there is a dispute with the seller of faulty goods.

The holder of a credit card may request the issuer to investigate potential errors in the bill.

Typically when a creditor can't collect, he will attempt to garnish your wages.

Another form of protection given to consumers is laws designed to increase product safety.

The primary provision of this code is that it sets maximum credit service rates for various amount of debts..